Reading & vocabulary

British Steel returns to public ownership

The British government has taken British Steel into public ownership after months of uncertainty over the future of its Scunthorpe steelworks. The intervention follows a fierce debate about whether Britain should continue producing virgin steel, which is made from raw materials rather than recycled metal.

The stakes are high. The Scunthorpe plant employs around 2,700 workers and is the last facility in the UK capable of producing virgin steel. If production were to end, Britain would become the only G7 country unable to manufacture the material, which is widely used in railways, bridges and major infrastructure projects.

British Steel's troubles have been mounting for years. Tata Steel sold the business for the symbolic price of £1 in 2016, but financial difficulties persisted. After entering insolvency in 2019, the company was acquired by China's Jingye Group. However, Jingye later claimed that soaring energy costs, weak demand and growing international competition were causing losses of around £700,000 a day. A subsequent government report estimated that supporting the business was costing taxpayers approximately £1.3 million every day.

The government's decision has divided opinion. Supporters argue that the move will safeguard thousands of jobs and preserve a strategically important industry. Critics, however, say ministers are simply kicking the can down the road. They argue that nationalisation may provide temporary relief, but it does little to address the industry's underlying problems.

The intervention has also fuelled concerns about the long-term cost to taxpayers. Questions over future investment and profitability have cast doubt on whether the company can survive without continued government support. Some analysts warn that mounting losses could eventually weigh on confidence in the government's wider industrial strategy.

For now, ministers insist the plant will remain operational while options for the future are explored. Whether this proves to be a short-term rescue or the beginning of a broader industrial policy remains unclear. One thing is certain: British Steel is still far from out of the woods.

Key words & expressions

Public ownership (noun phrase)
when the government owns and controls a company or service for the public.

Uncertainty (noun)
a situation in which the future is unclear or not known.

Intervention (noun); intervene (verb)
action taken to change, improve, or prevent a situation.

Fierce debate (noun phrase)
a strong and often angry public disagreement about an issue.

Make (something) from scratch (idiom)
to make something yourself from basic materials or ingredients, rather than using something ready-made or pre-prepared.

The stakes are high (idiom)
the situation is very important, and the consequences (results or effects) of success or failure could be serious.

Infrastructure (noun)
the basic systems and structures a country needs, such as roads, railways, and power supplies.

Persist (verb)
continue for a long time, despite difficulties or attempts to stop it.

Insolvency (noun)
the state of being unable to pay debts.

Claim (verb)
to say that something is true, often without providing proof.

Soaring (adjective)
rising very quickly to a high level.

Soar (verb)
to rise or increase very quickly to a high level.

Key words & expressions (continued)

Subsequent (adjective)
happening after something else.

Estimate (verb)
to roughly calculate or judge the amount, value, size, or cost of something.

Safeguard (verb)
to protect something from harm, loss, or danger.

Strategically important (adjective phrase)
important for achieving long-term goals or protecting future interests.

Minister (noun)
a senior member of the government responsible for a particular area, such as business, health, or education.

Kick the can down the road (idiom)
to delay dealing with a problem instead of solving it now.

Address (verb)
to deal with or try to solve a problem or issue.

Underlying (adjective)
existing beneath the surface or forming the real cause of something.

Fuel concerns (verb phrase)
make people more worried about a situation.

Cast doubt on (verb phrase)
to make something seem less certain, true, or likely. The past simple form is also “cast doubt on”.

Mounting (adjective)
gradually increasing, especially in a worrying way.

Weigh on confidence (verb phrase)
to make people feel less confident about something.

Out of the woods (idiom)
free from danger or difficulty after a bad situation.